

and I couldn't believe I was getting paid to do it. I enjoyed it so much that I would have done it for nothing. The one thing that I really took away from your book was that once you understand you have a method, you can tweak that method.

Time and time again, I give traders who work for me one piece of advice: Do more of what works and less of what doesn't. Young traders come to me and say, "Well, I have been running this book, and these things have been going really well, but I keep losing money on this." I tell them to just stop doing the things that are not working. Dissect your P&L and see what works for you and what doesn't. It is a very interesting process to analyze where your profits come from, and traders often don't know.

How did that advice apply to you at the time?

I decided to look at what I did as a trader. Where did I make money? That was the point at which I started to move to event-driven trading.

Where were you making money?

I had a series of trades where I had an edge. They were arbitrages. So I started looking for more arbitrage trades.

You were doing best in arbitrage trades, so you focused on arbitrage. Where were you not doing well?

I wasn't doing badly anywhere, but the arbitrage trades were by far the most consistent and profitable. There was really only one trade at the time where I took a big loss, and it was strictly hubris. The stock was 1912DS, a Danish shipping company, which traded at an extremely high share price of 140,000 Danish kroner. It traded in lots of one share or five shares. For some reason, I had become bullish on the stock and bought a lot of it. Then there was an article in the paper that said the company was a fraud. I had bought the stock at 140,000. It opened the next day at 100,000 offered and nothing bid. I remember the sick feeling in my stomach that morning. I worked out what the loss was at a price of 100,000 and thought, *That's too big; I can't show that today*. So what I did was write down the price of that stock a little bit every day for the next three months, while I traded as hard as I could to make money.

So the stock didn't trade?